

Consumer guarantees that apply automatically

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There are consumer guarantees that apply automatically:

- for products:
 - Acceptable quality
 - Products will match description or sample
 - Products will be fit for purpose
 - Title, possession and security
 - Repairs and spare parts
- for services:
 - Due care and skill
 - Services will be fit for purpose
 - Reasonable time

For more information about these guarantees, view our:

- [Problems with a product section \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/problems-with-a-product\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/problems-with-a-product)

- [Problems with a service section \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/problem-with-a-service\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/problem-with-a-service)

Under the Australian Consumer Law (ACL), products bought from an Australian business are automatically covered by consumer guarantees regardless of any other warranty. For more information, view our [Warranties section \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/refunds-repairs-and-returns/warranties\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/refunds-repairs-and-returns/warranties).

If a consumer identifies a problem with a product that means it does not meet a consumer guarantee, the store or seller may have to provide a 'remedy', such as:

- a refund
- repairs
- a replacement
- compensation.

The type of remedy a consumer is entitled to depends on the nature of the problem (also known as a failure) and whether the problem is **major** or **minor**.

Definition of a consumer

A person or a business is considered a consumer if they buy:

- products or services that cost up to \$100,000*, or any other amount set by the Australian Consumer Law in future; or
- products or services that cost more than \$100,000* and are of a kind normally acquired for personal, domestic or household use; or
- a vehicle or trailer used mainly to transport products on public roads. The cost of the vehicle or trailer is irrelevant.

However, the consumer guarantees will not apply if a business buys goods to resell or transform into a product to sell.

* For products or services purchased before 1 July 2021 the amount is \$40,000

Major problems with products

If there is a major problem with a product, the consumer is entitled to return it and seek a remedy.

Case Study

The following are major problems, with an example of how each might apply in practice.

Examples only (outcomes may differ in individual cases):

If a reasonable consumer had known about the problem, they would never have bought the product

Ramona would not have bought her washing machine if she knew the motor was going to burn out after three months.

The product is significantly different from a sample, description or demonstration model.

James orders a red scarf online, but the scarf delivered is hot pink.

The product cannot do what the consumer told the salesperson they needed it to do, or what it is normally supposed to do, and this problem cannot be fixed quickly or easily.

A salesperson assures Quang that the watch he buys can be worn while deep-sea diving. When he goes diving, the watch fills up with water.

The product is unsafe.

Elsa buys a car seat for her baby. After a couple of months, the belt buckle becomes loose.

If there is a major problem with a product, the consumer can:

- reject it and choose a refund or replacement, or
- keep it and the seller will compensate them for any drop in value.

Minor problems with products

A minor problem can be fixed within a reasonable time.

Consumers must give the supplier the chance to fix the problem. The store chooses whether to:

- provide a replacement that is identical, or of similar value
- repair the product within a reasonable time, or
- give a refund.

The consumer's rights to a remedy apply to the replacement product in the same way as the original product.

Case Study

Example only (outcomes may differ in individual cases):

Maya buys a new mobile phone. Due to a major problem, the store replaces it. If there is a problem with the replacement phone, Maya can take it back to the store. She has the same rights to a remedy as if it were a new mobile phone.

However, if the supplier is asked to fix the problem but fails to act, or does not act within a reasonable time, then the consumer can:

- reject the product for a refund or replacement, or
- get the product fixed somewhere else and claim reasonable costs from the supplier.

Products supplied to consumers

Products supplied to consumers are covered by guarantees that the:

- supplier has the right to sell the products (clear title)
- consumer has the right to undisturbed possession of the goods; that is, no-one can take them or prevent the consumer from using them unless they have a legal right to do so
- products are free from any undisclosed security, charge or encumbrance.

For more information, view our [Product does not have clear title page \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/problems-with-a-product/does-not-have-clear-title\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/problems-with-a-product/does-not-have-clear-title).

Products are supplied to consumers when they are sold, exchanged, re-supplied, let, hired or hire-purchased to consumers.

The automatic consumer guarantees apply to:

- new and second-hand products
- sale items
- products bought from an online business trading in Australia.

If you bought an item online from a private seller (not engaged in trade or commerce) or overseas store, view either our:

- [Buying from a private seller online page](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/online-shopping/buying-from-a-private-seller-online) (<https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/online-shopping/buying-from-a-private-seller-online>)
- [Buying from an overseas seller online page](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/online-shopping/buying-from-an-overseas-seller-online) (<https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/online-shopping/buying-from-an-overseas-seller-online>)

Products supplied in trade or commerce

Products are supplied in trade or commerce when they are sold, exchanged, leased, hired or hire-purchased as part of a trading or commercial relationship or a business or professional activity, including non-profit. Products bought from one-off sales by private sellers, such as those sold at garage sales and fêtes, may not be viewed as being 'in trade or commerce'.

Products (including second hand products) supplied in trade or commerce to consumers are covered by the consumer guarantees and the supplier or manufacturer must also comply with any express warranties (extra promises they give about the product).

Repairs

Sometimes, when products do not work, do not do what they should, or are not what the consumer asked for, the supplier may need to examine them in order to figure out what the problem is and what should be done.

Generally, it is the store or seller's responsibility to return products to the manufacturer for repair. This may include products that are under warranty.

If the store cannot arrange repairs (for example, because the manufacturer does not have the necessary parts) or cannot do so within a reasonable time, the consumer can:

- get someone else to repair the product and ask the store to pay reasonable costs
- ask for a refund or replacement.

Case Study

Example only (outcomes may differ in individual cases):

Several buttons come off Rohan's new shirt due to poor stitching. The tailor who made the shirt cannot supply matching buttons. Rohan is entitled to ask for a refund or replacement shirt.

Returning products for repair

Products do not need to be in their original packaging to be returned. Consumers may, however, need to ensure the products are adequately protected for posting or collection. If the consumer is not able to take the products to the supplier in person, and the supplier does not have a complimentary pick up or return policy, the consumer may have to return them by post or another delivery service.

As a general rule, if the item can be posted or easily returned, consumers should cover the initial cost of returning faulty products to the supplier. Consumers should keep the receipts for those costs because if the returned products are later confirmed to have a fault - whether major or minor - they can recover reasonable postage or transportation costs from the seller.

When products with a major fault are too large, too heavy or too difficult to remove, because of the very nature of the fault, the seller becomes responsible for the initial cost of returning the products. For example, if the fault has made the product too dangerous or fragile to deal with without expensive expert assistance.

The seller needs to pay the necessary shipping costs, or otherwise collect the products, within a reasonable time of being notified that the consumer has rejected the products. Examples of products too large or heavy to return without significant cost would include:

- a wide screen TV
- a bed
- an extension ladder stuck in the extended position
- a product that has been subsequently installed, like a stove or a dishwasher.

Products that are not covered

Products not covered under consumer guarantees include those:

- bought before 1 January 2011. These are covered by statutory implied conditions and warranties under the *Trade Practices Act 1974* and state and territory legislation in force before 1 January 2011
- bought at auctions, where the auctioneer acts as an agent for the owner
- costing more than \$100,000* and not of a kind ordinarily acquired for personal, domestic or household use or consumption - for example, farming equipment or an industrial photocopier
- acquired by a person for the purpose of on-selling or re-supplying
- acquired to be used, in trade or commerce, in the manufacture or production or repair of something else.

*For products or services purchased before 1 July 2021 the amount is \$40,000

When consumers do not have the right to return a product

Consumers do not have a right to return a product if they:

- changed their mind and no longer want the product
- ordered the wrong product
- found the product cheaper elsewhere
- found a better product elsewhere
- were aware of the relevant fault before buying the product - for example, if the fault was written on the product's tag, or for online purchases, indicated in any photos or descriptions of the item online
- damaged the product by misusing it - for example, if they dropped a mobile phone in the water
- used the product for a long time and the problem is as a result of usual wear and tear.

In some of these situations, the store or seller may still choose to give a refund, exchange or credit note. If they have their own refund policy that offers more than what is required by law, a consumer may be able to return the product, if for example, they bring the product back within a set period of time. The store or seller must comply with the terms of their in-store policies. For more information, view our [Change of mind page \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/business-practices/store-policies/change-of-mind\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/business-practices/store-policies/change-of-mind).

An in-store refund policy is not a cooling-off period. Unlike door-to-door sales and telemarketing contracts, standard consumer purchases do not have an automatic 'cooling-off' period, unless one is stated in the terms and conditions. For more information on door-to-door sales and telemarketing contracts, view our [Door to door](#)

[sales and telemarketing section \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/business-practices/door-to-door-sales-and-telemarketing\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/business-practices/door-to-door-sales-and-telemarketing).

It may be difficult for a consumer to return a product if they do not have a receipt or other proof of purchase. For more information, view our [Receipts and other proof of transaction page \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/refunds-repairs-and-returns/receipts-and-other-proof-of-transaction\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/refunds-repairs-and-returns/receipts-and-other-proof-of-transaction).

Tips for avoiding disputes

Before products are returned, the seller should provide clear advice of any transport or inspection costs that apply if the item is not faulty. This will enable you to choose whether you wish to go ahead with that method of returning the products.

Failing to disclose these costs may be misleading or deceptive conduct, in breach of the ACL, especially where it denies you the opportunity to choose whether you wish to go ahead with returning the products.

Sellers cannot inflate costs in an attempt to deter you from pursuing your claims. To do so may also be misleading, deceptive or even unconscionable conduct, which is in breach of the ACL. For more information, view our [Misleading or deceptive conduct page \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/business-practices/advertising-and-promotions/misleading-or-deceptive-conduct\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/business-practices/advertising-and-promotions/misleading-or-deceptive-conduct).

If you are having a dispute with the store or seller about a refund, repair or replacement, view our [Resolve your problem or complaint section \(https://www.consumer.vic.gov.au/contact-us/resolve-your-problem\)](https://www.consumer.vic.gov.au/contact-us/resolve-your-problem).

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(<https://www.consumer.vic.gov.au/resources-and-tools/yarrka-barrng-resources-for-first-nations-people>)

We acknowledge the Traditional Owners of the lands, seas and skies. We pay our respects to their Elders past and present, and to future generations who will continue to care for Country.



